

Theme 1.1 Scarcity, Enterprise and How Markets Work — Edexcel B

1. Scarcity, Choice and Opportunity Cost

Scarcity: The fundamental economic problem — human wants are unlimited, but the resources (factors of production) available to satisfy those wants are finite. This forces societies, firms, and individuals to make choices about how to allocate resources.

1.1 The Economic Problem

Every society must answer three fundamental questions:

1. **What to produce?** — Which goods and services should be produced, and in what quantities?
2. **How to produce?** — What combination of resources and methods should be used?
3. **For whom to produce?** — How should the output be distributed among members of society?

1.2 Factors of Production

Factor	Description	Reward	Example
Land	All natural resources — minerals, water, climate, soil	Rent	Oil fields, farmland, rivers
Labour	The physical and mental effort of workers	Wages	Factory workers, teachers, programmers
Capital	Man-made aids to production (not money itself)	Interest	Machinery, factories, technology

Enterprise	The entrepreneur who organises the other factors and bears risk	Profit	Elon Musk, James Dyson
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1.3 Opportunity Cost

Opportunity cost: The value of the next best alternative foregone when a choice is made. It is the real cost of any decision — measured not in money but in what you give up.

Opportunity cost applies at every level:

- **Individual:** A student choosing university gives up the salary they could have earned working full-time.
- **Firm:** A company investing in a new factory gives up the returns from investing that money elsewhere.
- **Government:** Spending on the NHS means less for education, defence, or infrastructure.

Case Study: HS2 Opportunity Cost

The UK government's HS2 high-speed rail project had cost estimates exceeding £100 billion before the northern leg was cancelled in 2023, and even the shortened London–Birmingham line is expected to cost tens of billions. Critics argue the opportunity cost is enormous — that money could fund hundreds of new hospitals, thousands of schools, or significant renewable energy investment. Supporters counter that HS2 will boost productivity and regional connectivity, generating returns that outweigh the opportunity cost. This illustrates how opportunity cost involves subjective judgement about the value of alternatives.

1.4 Free Goods vs Economic Goods

- **Free goods:** Have no opportunity cost — they are not scarce (e.g., air, sunlight).
- **Economic goods:** Have an opportunity cost because resources are used in their production (e.g., cars, healthcare).

2. Enterprise, Adding Value and Specialisation

Enterprise: The factor of production that organises land, labour and capital into a working business and carries the risk of the venture. The person who does this is the **entrepreneur**, and their reward is profit — which may be negative.

2.1 The Role of the Entrepreneur in the Economy

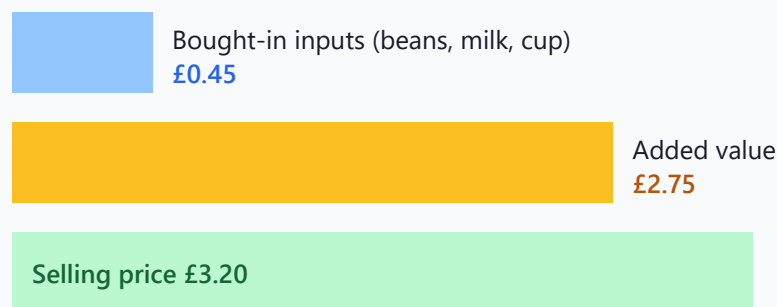
Spec point 1.2.1 asks you to explain what entrepreneurs actually *do*. Three activities:

- **Creative destruction** — organising the factors of production to create and set up an enterprise. The phrase is Joseph Schumpeter's: new firms and new methods displace older ones, so the same act that creates a business destroys the position of an incumbent. Streaming subscriptions displaced DVD rental; online grocery delivery displaced part of the weekly supermarket shop.
- **Making decisions** to operate, expand and develop the business — what to produce, at what scale, in which markets, with whose money.
- **Adding value** — selling the output for more than the cost of the inputs used to make it. This is the test of whether the enterprise is worth running at all.

Added value = selling price – cost of bought-in materials and components.

It is *not* the same as profit: added value still has to cover wages, rent, energy and overheads before anything is left.

Adding value: a £3.20 coffee



Added value must still pay wages, rent, energy and business rates.

Figure 1: Added value is the gap between the selling price and the cost of bought-in inputs — here $£3.20 - £0.45 = £2.75$ per cup. It is not profit until staff, premises and overheads are paid.

Worked calculation: A workshop buys leather and fittings for £18 per bag and sells each bag for £65. Added value per bag = $£65 - £18 = \text{£}47$. If it makes 400 bags a month, total added value = $400 \times £47 = \text{£}18,800$. Monthly wages, rent and overheads are £14,500, so monthly profit = $£18,800 - £14,500 = \text{£}4,300$. Showing the two steps separately is what earns the marks.

2.2 Entrepreneurial Motives

Motive	What it means	Consequence for the business
Profit as an incentive	The prospect of a return that beats the entrepreneur's next best use of their time and money	Drives entry into markets where returns are high; drives exit when they are not
Ethical stance	Trading on stated values — sourcing, pay, environmental standards	May raise unit costs but can support a price premium and staff retention
Social entrepreneurship	The enterprise exists to solve a social problem; surpluses are reinvested rather than distributed	Objectives are measured in social outcomes as well as cash
Independence	Wanting to be one's own employer	Often accepts lower income than employment would pay
Home working	Running the business from home, often alongside caring responsibilities	Very low fixed costs, but limits on scale and on separating work from home

Case Study: How Many Firms Are Born and How Many Die

ONS Business Demography for 2024 — the most recent full year published — recorded around 317,000 UK business births, a birth rate of 11.1%, and around 280,000 business deaths, a death rate of 9.8%. That death rate was the lowest recorded since 2016. Read the two numbers together and you have creative destruction as a measurable fact: in a single year roughly one business in nine on

the register is new and roughly one in ten closes. The churn is the mechanism, not a sign of failure — resources released by closing firms are what new entrants hire.

2.3 Specialisation and the Division of Labour

Division of labour: splitting a production process into separate tasks, each performed by a different worker.

Specialisation: concentrating on what you do relatively best — applied to workers, firms, regions or whole countries.

	Advantages	Disadvantages
To the employer	Output per worker rises as tasks are repeated; training is cheaper because each worker learns one task; easier to mechanise a narrow task	Workers become hard to redeploy; one absent specialist can stop the line; higher stock levels needed between stages
To the employee	A marketable skill; higher pay for scarce skills; less time wasted moving between tasks	Repetitive work lowers motivation and raises turnover; a narrow skill is risky if the industry contracts
To the firm	Lower average costs, a clearer competitive advantage, ability to serve a bigger market	Dependence on a single product or market; vulnerable to a demand shock or a supply-chain break

Exam Tip: Specialisation questions on 9EB0 are usually set in a business context, so answer in business language — unit costs, lead times, staff turnover, supply-chain risk — rather than reciting Adam Smith's pin factory. The strongest evaluation point is that the gains from specialisation depend on the size of the market: a narrow specialist needs enough customers to be worth the loss of flexibility.

3. Demand

Demand: The quantity of a good or service that consumers are willing and able to buy at a given price, in a given time period, *ceteris paribus* (all other things being equal).

3.1 The Law of Demand

There is an **inverse relationship** between price and quantity demanded — as price rises, quantity demanded falls, and vice versa. This creates a downward-sloping demand curve. Reasons:

- **Income effect:** When price rises, consumers' real income (purchasing power) falls, so they can afford less.
- **Substitution effect:** When price rises, consumers switch to cheaper alternatives.
- **Diminishing marginal utility:** Each additional unit consumed provides less extra satisfaction, so consumers only buy more at a lower price.

3.2 Individual vs Market Demand

Individual demand is one consumer's demand for a good. Market demand is the horizontal summation of all individual demand curves — at each price, we add together the quantities demanded by all consumers in the market.

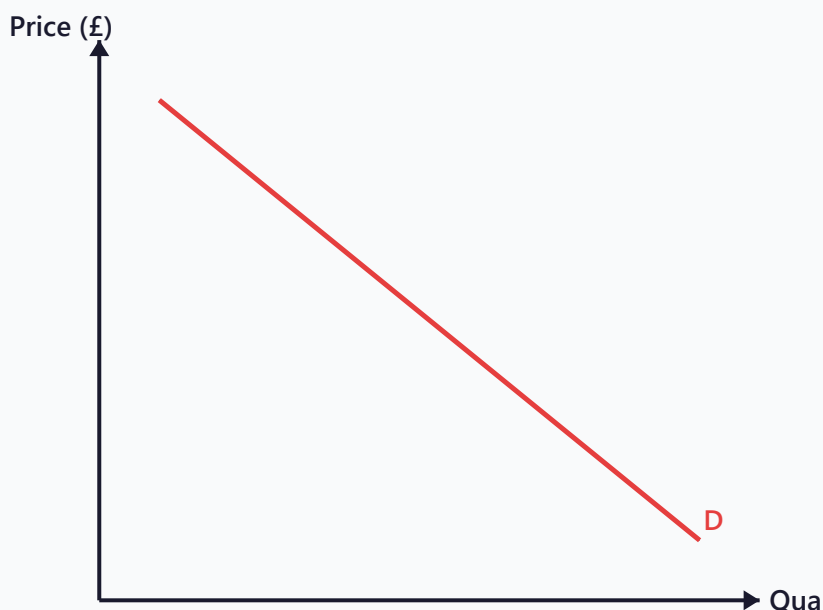


Figure 2: The demand curve — downward sloping, showing the inverse relationship between price and quantity demanded.

3.3 Movements Along vs Shifts of the Demand Curve

A **movement along** the demand curve (contraction or extension) is caused only by a change in the good's own price. A **shift** of the entire demand curve is caused by a change in a non-price factor.

Non-price Determinants of Demand (Shifters)

Factor	Rightward Shift (Increase in D)	Leftward Shift (Decrease in D)
Income	Rise in income (for normal goods)	Fall in income (normal goods); Rise in income (inferior goods)
Price of substitutes	Rise in price of a substitute	Fall in price of a substitute
Price of complements	Fall in price of a complement	Rise in price of a complement

Population	Increase in population	Decrease in population
Tastes / preferences	Fashions, advertising, trends increase desire	Negative publicity, health scares
Expectations	Expected future price rise boosts demand now	Expected future price fall reduces demand now
Interest rates	Lower interest rates (cheaper borrowing)	Higher interest rates

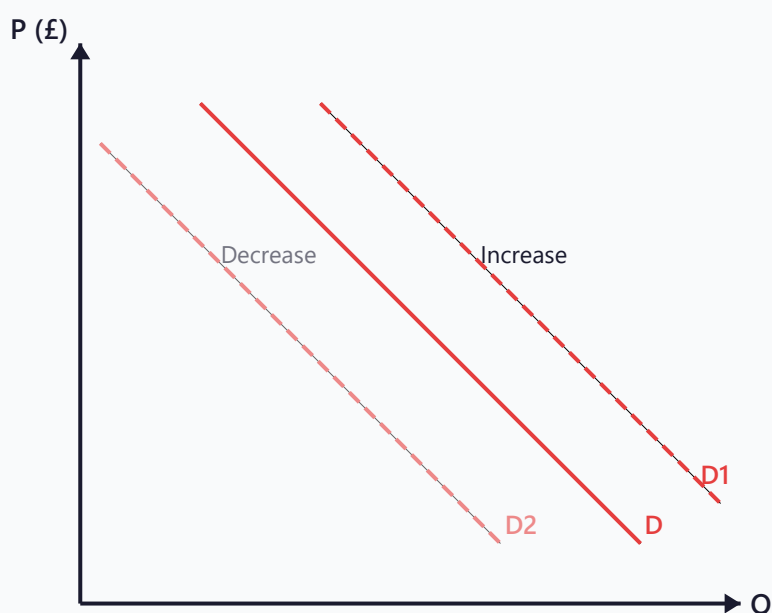


Figure 3: Shifts of the demand curve — D to $D1$ (increase), D to $D2$ (decrease).

Case Study: UK Electric Vehicle Demand

Demand for EVs in the UK surged from a few thousand new registrations a year in 2013 to over 300,000 in 2023. Multiple demand shifters explain this: rising environmental awareness (tastes), government grants (the Plug-in Car Grant until 2022 and the Electric Car Grant from July 2025, lowering the effective price), falling battery costs making EVs cheaper, expanding charging infrastructure (complementary goods), and the planned end of new pure petrol/diesel car sales

from 2030 (with hybrids allowed until 2035). This represents a significant rightward shift of the demand curve for EVs.

4. Supply

Supply: The quantity of a good or service that producers are willing and able to sell at a given price, in a given time period, *ceteris paribus*.

4.1 The Law of Supply

There is a **positive relationship** between price and quantity supplied — as price rises, quantity supplied rises. This creates an upward-sloping supply curve. Reasons:

- **Profit motive:** Higher prices mean higher potential profits, incentivising firms to produce more.
- **New entrants:** Higher prices attract new firms into the market.
- **Covering costs:** Higher prices allow higher-cost firms to enter the market profitably.

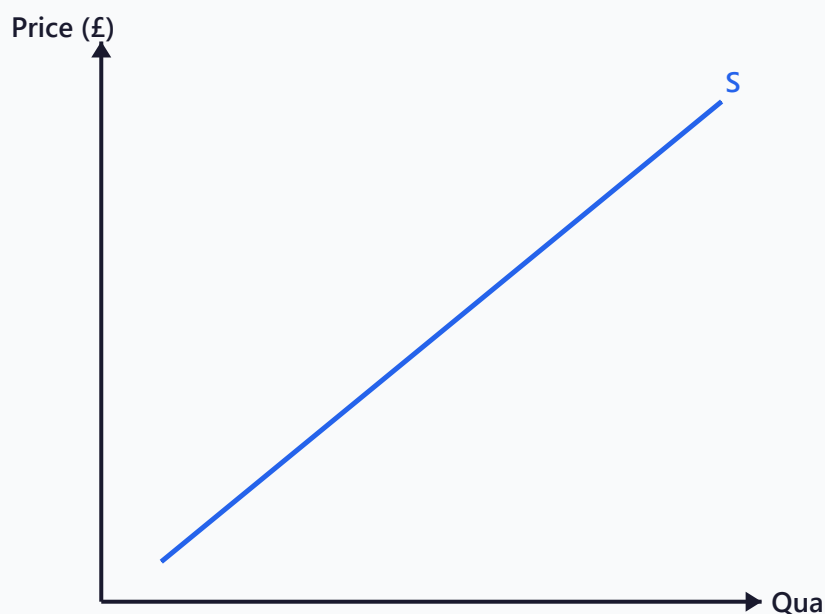


Figure 4: The supply curve — upward sloping, showing the positive relationship between price and quantity supplied.

4.2 Non-price Determinants of Supply (Shifters)

Factor	Rightward Shift (Increase in S)	Leftward Shift (Decrease in S)
Costs of production	Fall in wages, raw materials, rents	Rise in costs (e.g., oil price increase)
Technology	Improved technology reduces costs	Loss of technology (rare)
Indirect taxes	Removal/reduction of tax	Imposition/increase of indirect tax
Subsidies	Introduction/increase of subsidy	Removal/reduction of subsidy
Number of firms	New firms entering	Firms leaving
Weather/natural factors	Favourable weather (agriculture)	Drought, floods, natural disasters
Regulations	Deregulation	Increased regulation

5. Market Equilibrium

Market equilibrium: The point where quantity demanded equals quantity supplied at a given price. There is no tendency for price to change — the market clears with no excess demand or excess supply.

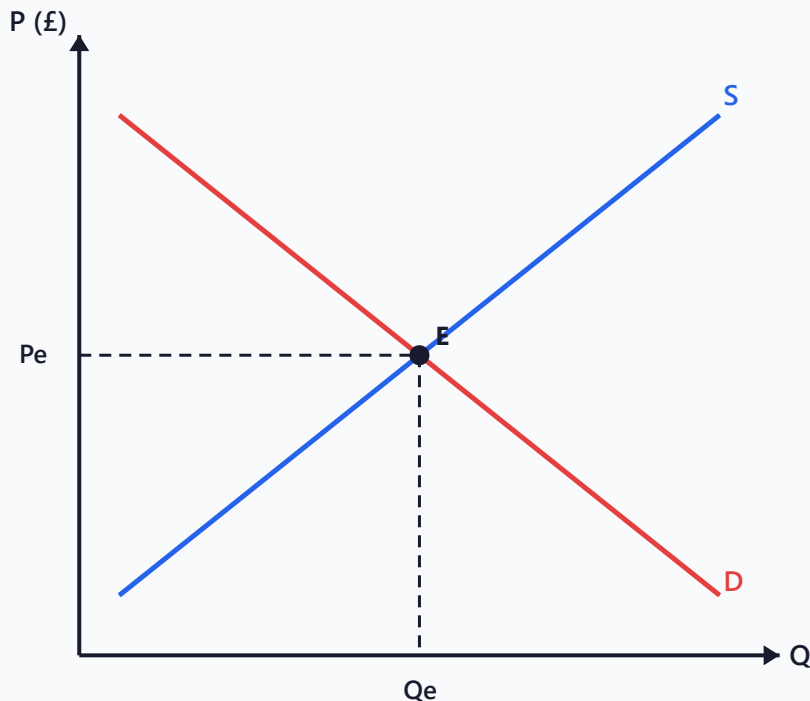


Figure 5: Market equilibrium where D and S intersect at price P_e and quantity Q_e .

5.1 Disequilibrium

- **Excess demand (shortage):** Price below equilibrium, $Q_d > Q_s$. Consumers bid price up towards equilibrium.
- **Excess supply (surplus):** Price above equilibrium, $Q_s > Q_d$. Firms reduce price towards equilibrium.

5.2 Changes in Equilibrium

- **Increase in demand** (D shifts right) → higher equilibrium price and quantity.
- **Decrease in demand** (D shifts left) → lower equilibrium price and quantity.
- **Increase in supply** (S shifts right) → lower equilibrium price, higher quantity.
- **Decrease in supply** (S shifts left) → higher equilibrium price, lower quantity.

Exam Tip: When both demand and supply shift simultaneously, you can determine the direction of change in either price or quantity, but not both — one will be indeterminate. Always state this in your answer.

6. Business Objectives and Stakeholders

Business objective: a target the firm sets itself and against which its decisions can be judged. A firm's objective is a choice, not a law of nature — which is why two firms in the same market can price, invest and hire very differently.

6.1 The Three Objectives the Spec Names

Objective	Decision rule	What you would observe
Profit maximisation	Produce where the last unit adds as much to revenue as it adds to cost (MC = MR)	Prices held up even when rivals discount; investment only where the return clears a hurdle rate
Sales maximisation	Sell the largest volume that still covers costs	Aggressive discounting, loss-leading lines, heavy promotion to win volume and market share
Satisficing	Achieve an outcome good enough to keep every stakeholder group quiet, rather than the best possible outcome for one	Steady dividends, steady pay settlements, no dramatic strategy changes — common where managers, not owners, run the firm

Other objectives on the specification

- **Survival** — the overriding objective for a new firm, and for any firm in a downturn. Price may be cut below the level that maximises profit simply to keep cash coming in.
- **Market share** — pursued where scale lowers unit costs or where the market is likely to end up with few sellers.
- **Cost efficiency** — driving down cost per unit; the objective behind most process investment.
- **Return on investment** — profit measured against the capital tied up, which lets a firm compare unlike projects.
- **Employee welfare** — pay, conditions, security; raises costs now, but can lower recruitment and training costs later.

- **Customer satisfaction** — measured by repeat purchase and retention; the objective that justifies spending on service.
- **Social objectives** — emissions, sourcing, community commitments, written into the firm's own targets.

Divorce of ownership from control: in a large company the owners are shareholders but the decisions are taken by salaried managers. Managers are rewarded for growth, security and their own standing, which pulls towards sales maximisation and satisficing rather than profit maximisation. This is the standard explanation of why observed behaviour so often departs from $MC = MR$.

6.2 Stakeholders and Their Objectives

Stakeholder (economic agent): any group affected by what the firm does, whether or not it owns any part of it.

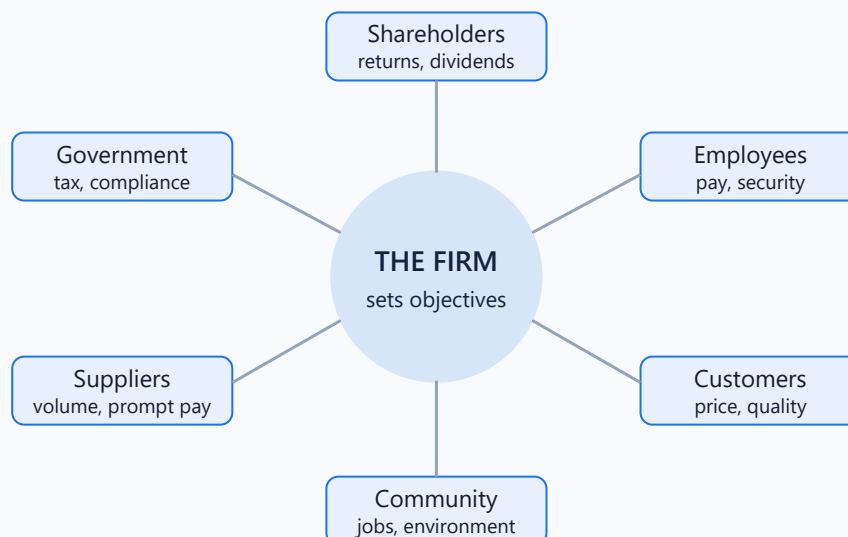


Figure 6: Stakeholder map. Each group wants something different from the same set of decisions, which is why objectives conflict.

6.3 Stakeholder Conflicts

- **Shareholders v employees:** a pay rise is a cost to one group and income to the other. Automating a process cuts unit costs and cuts jobs at the same time.
- **Customers v shareholders:** cutting price wins customers and reduces the margin available for dividends.
- **Suppliers v the firm:** stretching payment terms improves the firm's cash position and worsens the supplier's — which is why late payment is a standing complaint of small suppliers to large buyers.
- **Community v shareholders:** moving production to a cheaper location raises returns and removes local employment.

Conflicts are not always zero-sum. Better pay can cut turnover and training costs; cutting waste can lower costs and emissions together. The examinable judgement is *when* the interests line up and when they genuinely do not.

6.4 Corporate Social Responsibility

CSR is the idea that a firm should accept responsibilities to stakeholders beyond its legal minimum and its shareholders. In practice it shows up as sourcing standards, emissions targets, pay floors and community spending.

Evaluation: is CSR a cost or an investment?

- **Investment:** it can raise price premiums, protect a brand against boycott, cut staff turnover and reduce the risk of future regulation.
- **Cost:** it raises unit costs now against benefits that are uncertain and far off, and a firm in a price-driven market may not survive that gap.
- **Credibility:** a CSR claim that is not verifiable is cheap to make, so the market discounts it — which is why third-party certification exists.
- **It depends on:** how price-sensitive the firm's customers are, whether rivals face the same standards, and how visible the firm is.

7. Elasticity of Demand

7.1 Price Elasticity of Demand (PED)

PED: A measure of the responsiveness of quantity demanded to a change in price. Always negative (inverse relationship) but we refer to the absolute value.

$$\text{PED} = \% \text{ change in quantity demanded} \div \% \text{ change in price}$$

Value	Term	Meaning	Demand Curve Shape
$ \text{PED} > 1$	Elastic	Qd highly responsive — $\% \Delta Q_d > \% \Delta P$	Relatively flat
$ \text{PED} < 1$	Inelastic	Qd not very responsive — $\% \Delta Q_d < \% \Delta P$	Relatively steep
$ \text{PED} = 1$	Unit elastic	$\% \Delta Q_d$ exactly equals $\% \Delta P$	Rectangular hyperbola
$\text{PED} = 0$	Perfectly inelastic	Qd does not change at all	Vertical line
$\text{PED} = \infty$	Perfectly elastic	Any price rise $\rightarrow$ Qd falls to zero	Horizontal line

Determinants of PED

- **Substitutes:** More substitutes = more elastic (consumers switch easily).
- **Necessity vs luxury:** Necessities are inelastic; luxuries are elastic.
- **Proportion of income:** Goods that take a large share of income are more elastic.
- **Time period:** Demand is more elastic in the long run (time to adjust).
- **Addictiveness:** Addictive goods (cigarettes, coffee) are inelastic.
- **Brand loyalty:** Strong loyalty makes demand more inelastic.
- **Market definition:** Broad markets (food) are more inelastic; narrow markets (organic avocados) more elastic.

PED and Total Revenue

- Demand **elastic** ($|\text{PED}| > 1$): price cut $\rightarrow$ TR rises (quantity gain outweighs price loss).
- Demand **inelastic** ($|\text{PED}| < 1$): price rise $\rightarrow$ TR rises (quantity loss is proportionally small).
- TR is maximised where $|\text{PED}| = 1$.

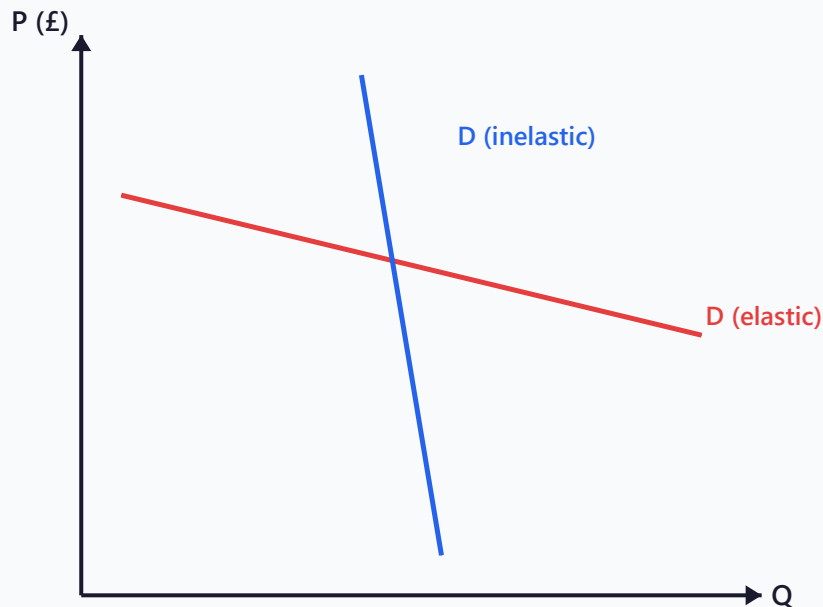


Figure 7: Elastic demand (relatively flat) vs inelastic demand (relatively steep).

Case Study: UK Sugar Tax and PED

In April 2018, the UK introduced the Soft Drinks Industry Levy — 18p/litre for drinks with 5-8g of sugar per 100ml, and 24p/litre above 8g. The amount of sugar sold in soft drinks fell by roughly a third, mainly because many producers reformulated products to fall below the thresholds; household purchases of sugar from soft drinks fell by a smaller amount (around 10% in early studies). Consumers do have substitutes (diet versions, water), but most economists conclude the main impact was supply-side (reformulation) rather than a large demand response. In 2025 the government announced the levy will be extended to sugary milk-based drinks and the lower threshold cut to 4.5g per 100ml from 2028.

7.2 Income Elasticity of Demand (YED)

YED: A measure of the responsiveness of quantity demanded to a change in consumer income.

$$\text{YED} = \% \text{ change in quantity demanded} \div \% \text{ change in income}$$

Value	Type of Good	Example
$YED > 1$	Luxury / superior good	Designer clothes, overseas holidays, organic food
$0 < YED < 1$	Necessity	Bread, toothpaste, basic clothing
$YED < 0$	Inferior good	Budget brands, bus travel, instant noodles

Significance of YED for Businesses

- Luxury goods firms ($YED > 1$) are vulnerable to recessions — revenue falls sharply when incomes drop.
- Necessity firms ($0 < YED < 1$) are relatively recession-resistant — demand is fairly stable.
- Inferior goods firms ($YED < 0$) may benefit from recessions (e.g., Aldi and Lidl grew rapidly during 2008-09).
- Businesses use YED to forecast future demand based on expected economic growth.

8. The Wider Economic Environment and the Firm

Spec point 1.2.5 asks for the *implications for firms* of changes in five macroeconomic variables. Questions are set on the firm, so answer on the firm: costs, demand, cash, investment decisions.

Change	Effect on the firm	Who is hit hardest
Interest rates rise	Existing variable-rate borrowing costs more, so cash available for wages and stock falls; new investment projects must clear a higher return; customers with mortgages have less to spend	Highly geared firms, and firms selling big-ticket items usually bought on credit
Exchange rate: sterling appreciates	Imported inputs become cheaper in pounds; exports become dearer in foreign currency, so export volumes fall	Exporters; helps import-dependent manufacturers and retailers
Taxation rises	Higher employer National Insurance or business rates raise costs directly; higher	Labour-intensive firms for employment taxes;

	income tax or VAT cuts customers' spending power	discretionary-spending firms for consumer taxes
Unemployment rises	Recruitment gets easier and wage pressure eases, but consumer demand falls and bad debts rise	Firms selling normal and luxury goods; inferior-good sellers may gain
Inflation rises	Input costs rise before the firm can reprice; wage claims follow; menu costs and harder forecasting; real value of fixed-rate debt falls	Firms on long fixed-price contracts, and firms whose customers resist price rises

Case Study: What UK Firms Faced in 2026

The Bank of England held Bank Rate at 3.75% at its decision on 17 September 2026, the sixth consecutive hold since the cut to that level in December 2025, with CPI inflation running at 3.1% in August 2026 against the 2% target. For a firm, those two numbers pull in opposite directions. Borrowing costs have stopped rising, which makes an investment appraisal easier to sign off than it was during the tightening cycle. But prices are still climbing faster than target, so input costs keep moving and any fixed-price contract signed today carries margin risk. A firm reading the same data has to decide whether to lock in a supplier price now or wait — and that decision, not the headline rate, is what a 9EB0 answer should be about.

Evaluation: how much does a macro change actually matter to a given firm?

- **Size of the change** relative to the firm's margin — a one-point rate rise is trivial to a debt-free firm and existential to a heavily geared one.
- **Time lag** — monetary policy works with a delay, so the firm may have quarters to adjust; an exchange rate move hits the next invoice.
- **Ability to pass costs on** — which depends on the price elasticity of demand for the firm's product and on what rivals do.
- **Offsetting effects** — a weaker pound raises import costs and export competitiveness at the same time; the net effect depends on the firm's import content.

- **Hedging and contracts** — firms that have fixed their energy price or bought currency forward feel the change later, not never.

9. The Price Mechanism

The price mechanism: The system by which changes in price act as signals to producers and consumers, provide incentives for economic agents to change behaviour, and ration scarce resources.

9.1 Three Functions of the Price Mechanism

Signalling

Prices convey information. A rising price signals high demand and encourages firms to allocate more resources to production. A falling price signals reduced demand and triggers reallocation of resources elsewhere. Prices coordinate the decentralised decisions of millions of agents.

Incentive

Prices create incentives for behavioural change. Higher prices incentivise producers to supply more (profit motive) and consumers to reduce consumption. Lower prices incentivise consumption and may push some firms out. This ensures resources flow to where they are most valued.

Rationing

The price mechanism rations scarce goods — those willing and able to pay receive the good; those who are not must go without. This allocates goods to those who value them most (in monetary terms), but raises equity concerns as it depends on ability to pay.

9.2 Adam Smith's "Invisible Hand"

Smith argued that individuals pursuing self-interest, guided by the price mechanism, produce an efficient resource allocation — as if by an "invisible hand." Without central planning, markets coordinate production and consumption to maximise welfare. However, this only holds when markets work well — market failures prevent efficient outcomes.

Evaluation: Limitations of the Price Mechanism

- Leads to inequality — rationing by price means the poor cannot afford essentials.
- Fails to account for externalities (e.g., pollution not reflected in prices).
- Underprovides public goods (non-excludable, non-rivalrous).
- Information failures mean prices may not reflect true costs and benefits.
- Monopoly power distorts prices and restricts output.
- Markets may adjust slowly — price signals take time to work through.

Exam Tip — Evaluation: Edexcel B examiners reward evaluation highly. Always consider: (1) short run vs long run effects, (2) the significance of the change, (3) who gains and who loses, (4) the assumptions underlying your analysis, and (5) whether alternative policies might be more effective.